

Step-by-Step Guide: Building Your AI Governance Framework

AIM ASEAN Programme: AI for MSME
Advancement in ASEAN

Curriculum Designed and Developed by:
AIM ASEAN Programme

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A governance framework doesn't have to be complex. For a business owner, it's about establishing clear, simple rules to ensure your use of AI is transparent, fair, and trustworthy.

Step 1: Define Your Core Principles & Policies

Start by creating a simple "AI Bill of Rights" for your business. Align it with your company's existing values and ethical guidelines.

[] **List your non-negotiables:** What are the absolute rules for using AI? For example: "We will not use AI to make critical hiring decisions without human review," or "All customer data used in AI must be anonymized."

[] **Establish a Policy on AI Tools:** Create a clear policy for your employees about which AI tools are approved for use and which are not. This helps prevent "shadow AI," where employees use unapproved tools that could pose security or compliance risks. A dedicated [privacy policy](#) outlining how data is collected, used, and protected on your website will also help build trust and ensure compliance.

Other remarks:

Step 2: Assign Clear Roles and Accountability

An AI governance framework is only effective if someone is responsible for it.

[] **Designate an "AI Champion":** This doesn't have to be a tech expert. It can be a manager or team leader who is enthusiastic about AI and responsible for overseeing its ethical use.

[] **Define a Decision-Making Process:** For any new AI project, decide who needs to be involved. A simple committee or a single point of contact can be responsible for reviewing and approving new AI initiatives.

[] **Create a "Human-in-the-Loop" Rule:** For any high-stakes AI decision (e.g., loan applications, employee performance reviews), ensure a human is always in a position to review and override the AI's recommendation.

Other remarks:

Step 3: Implement a Simple Risk Assessment Process

Before you deploy any AI tool, you need to identify and mitigate potential risks.

[] **Use a [Risk Scorecard](#):** Create a simple checklist to evaluate each new AI project. Questions might include: "Does this AI have access to sensitive customer data?" "Could this AI produce biased results?" and "Is the output of this AI easily explainable?"

[] **Test for Bias:** Before full deployment, test your AI tool with diverse, representative data to check for any unintended biases. For example, if you're using an AI for marketing, ensure it doesn't exclude specific demographics.

[] **Develop a Mitigation Plan:** For any identified risks, create a plan to address them. This could be as simple as a process for manually reviewing every decision made by the AI or a plan for retraining the model if it starts to perform poorly.

Other remarks:

Step 4: Engage Stakeholders & Ensure Transparency

Building trust starts with communication. Be open with your employees and customers about your use of AI.

[] **Communicate Internally:** Inform your employees about how AI is being used, why it's being implemented, and how it will impact their roles. Emphasize that AI is a tool to augment their work, not replace them.

[] **Be Transparent with Customers:** If an AI is directly interacting with your customers (e.g., a chatbot), let them know. Provide a clear option to speak with a human if the AI can't resolve their issue.

[] **Document Everything:** Maintain a record of your AI projects, including their purpose, the data used, and the decisions made to ensure you can trace back and audit them if needed. This is crucial for accountability.

Other remarks:

Step 5: Continuously Monitor & Audit

An AI framework is not a one-time setup. It requires ongoing attention to remain effective.

[] **Check for Performance Drift:** Regularly monitor your AI to ensure it's still delivering accurate and fair results. The world changes, and so does data, which can cause an AI's performance to "drift" over time.

[] **Establish a Feedback Loop:** Create an easy way for employees and customers to report any issues or concerns they have with your AI systems.

[] **Conduct Regular Reviews:** Schedule periodic check-ins to review your AI governance policies and framework, making adjustments as your business and AI technologies evolve.

Other remarks:
